05 Financial Projections

NOVATECH AI SOLUTIONS, INC.

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NovaTech AI Solutions is raising $12,000,000 in Series A financing

18 months of operations to reach profitability and position the

NOTE: At the current burn rate of $380,000/month, $12M provides

This discrepancy exists because the plan assumes accelerated

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REVENUE SUMMARY:

ARR (end):	$1,200,000	$3,900,000	$4,800,000
Total Revenue:	$980,000	$2,847,000	$1,920,000

CUSTOMER METRICS:

Enterprise:	3	14	18
Total Customers:	15	42	53
Retention:	105%	118%	122%
Logo Churn:	12%	7%	4%
CAC (SMB):	$8,000	$6,500	$5,800
LTV (SMB):	$42,000	$48,000	$52,000
LTV/CAC (SMB):	5.3x	7.4x	9.0x

COST STRUCTURE (Monthly, as of May 2026):

Sales & Marketing: $78,000 (6 team members)

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Cloud Infrastructure: $35,000 (AWS)

Professional Services: $17,500

Gross Margin: 82%

NOTE: Company is approximately cash-flow breakeven on monthly

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	H2 2026	FY2027	FY2028	FY2029
MRR (end):	$567K	$1,208K	$2,333K	$3,750K
YoY Growth:	--	140%	99%	77%

REVENUE BREAKDOWN BY SEGMENT:

SMB:	35%	30%	28%	25%

NEW CUSTOMER TARGETS:

New Enterprise:	8	25	35
Total New:	23	65	85

ACV ASSUMPTIONS:

SMB (avg): $24,000 (up from $18,000 current)

SMB expansion rate: 115% annually

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HEADCOUNT PLAN:

Engineering:	12	+6	28	40
Marketing:	2	+2	6	8
G&A:	4	+1	7	9
TOTAL:	28	+15	64	89

NOTE: Current headcount here is 28 FTE, but the Stock Purchase

The discrepancy may be because this projection was prepared on

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in the interim). Should be reconciled.

MONTHLY BURN PROJECTION:

Avg Monthly: $620K $890K $1,250K

CASH RUNWAY ANALYSIS:

($12M new + $1.45M existing)

Minimum Cash Point: $3,200,000 (March 2027)

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CRITICAL ASSUMPTIONS:

2. Sales cycle: 45 days (Enterprise), 14 days (SMB)

4. No additional equity financing needed before breakeven

6. No material competitive threat from incumbents within 12 months

IDENTIFIED RISKS:

45 ? 55 days in Q2 2026)

hold critical customer relationships

4. Regulatory uncertainty around AI/ML in financial services

5. Potential need for bridge financing if Q4 2026 bookings miss

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COMPARABLE TRANSACTIONS (2025-2026):

Company B (Legal AI Platform): Series A at 12x ARR

Company D (Enterprise NLP): Series A at 10x ARR

NovaTech Valuation: $38M pre / $3.9M ARR = 9.7x ARR

? Attractive entry point for investors

EXIT SCENARIOS (3-5 year horizon):

Scenario 2 - Strategic Acquisition: $200-400M (5-10x revenue)

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INVESTOR RETURN ANALYSIS:

(Post-money: $50,000,000)

At $200M exit: 4.0x return ($48M) - 3 year IRR: 59%

At $500M exit: 10.0x return ($120M) - 5 year IRR: 58%

With 1.5x liquidation preference:

Breakeven exit value: $50,000,000

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ENGINEERING & PRODUCT ($5,400,000 / 45%):

- Hiring: 4 mid-level engineers @ avg $150K = $600,000
- Infrastructure scaling (GPU clusters) = $1,200,000
- R&D tax credit eligible spend = $1,500,000

NOTE: Engineering allocation sums to $5,400,000 but the detail

benefit, not an expense). Actual engineering spend may be

SALES & MARKETING ($3,000,000 / 25%):

- Marketing hires: 2 (content + demand gen) = $320,000
- Sales tools & commissions = $600,000

SUBTOTAL: = $3,000,000

G&A ($1,800,000 / 15%):

- Finance & accounting (including CFO hire) = $550,000
- Insurance (D&O, E&O, cyber) = $200,000

SUBTOTAL: = $1,800,000

WORKING CAPITAL RESERVE ($1,800,000 / 15%):

- Contingency / opportunity fund = $800,000

GRAND TOTAL: = $12,000,000

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